AppLovin - research pilot

Dated 2026-10-06 | Astra audit revision | partial research; numerical illustrations only

1. Business and judgement

AppLovin Corporation, Nasdaq APP Class A, is an advertising infrastructure business following the June 2025 sale of its Apps portfolio. Axon Ads Manager optimizes advertiser spending; MAX auctions publisher inventory; Adjust supplies measurement and Wurl serves connected television. Advertisers buy outcomes and publishers sell audience access. AppLovin earns revenue for connecting these sides. [a1: Business; a2: segment note]

The observed financial economics are strong, but independent advertiser incrementality and persistence remain less firmly established. The selected prior close is $281.97 on 5 October 2026 (16:00 EDT). Astra identified unsupported mature reinvestment and incomplete cash/lease/ownership bridges. A defensible current intrinsic value and price-attractiveness judgement are therefore withheld. Numerical tables are calculation illustrations only. [a6; model.json]

Decisive evidence	Observed result
Q2 revenue / GAAP EBIT	$1,923.7m / $1,494.3m
Q2 growth decomposition	53% revenue growth; net revenue per install +58%, installations -2%
H1 cash from operations	$2,160.4m versus $1,603.9m
June cash / December note principal	$3,053.3m / $3,550m (different snapshot dates)

The five decisive variables are advertiser incrementality and retention; durable access to publisher inventory and platform-compliant data; revenue per installation versus installation volume; operating margin after compensation and infrastructure; and the common ownership claim after capital allocation. Higher auction efficiency can compound these variables, but each is contestable. [a1; a2]

2. Conditional valuation and expectations

Illustrative case	Conditional PV*	2031 illustration*	Annual return*
Bear	$98	$181	-8.5%
Base	$252	$425	8.6%
Bull	$448	$722	20.7%

*USD per proxy share: unapproved forecast and ownership arithmetic only. These are not accepted intrinsic values, prospective-return forecasts or market expectations. All columns use the same dated holder receipts; the horizon is 6 October 2031. Numerical conclusions remain withheld until mature cash flow, cash/lease financing and current claims are reconciled. [reviewed-results.json]

Forecast starting revenue is $6,829.1m, calculated from FY2025 + H1 2026 - H1 2025 continuing revenue. Base growth slows from 25% to 8% over five years; EBIT margins after economic compensation end at 75%; tax normalizes to 21%; equity cost is 11% and perpetual growth 3%. Bear growth/margins deteriorate; Bull extends advertiser adoption and monetization with higher sustainable margins. These are analyst assumptions, not management guidance or probabilities.

The revised calculation illustrates FCFE after assumed financing expense, retaining undistributed cash and adding it once to horizon equity. Principal is conditionally refinanced. Opening ownership uses July outstanding shares plus a mixed-date EPS award proxy, not a verified current claim count. June cash less an assumed USD1bn operating reserve remains a stale opening approximation; no June-to-October cash or operational roll-forward was completed. [a2; model.json]

Purely illustrative reverse calculation: constant five-year growth of 19.1% matches the dated price with Base margin, interest, reinvestment, cash and proxy ownership fixed. Because those cash and ownership foundations are unvalidated, this is not an accepted market-implied-expectations conclusion or unique market belief.

Unapproved forecast hurdle	Arithmetic entry illustration
8%	$289
10%	$264
12%	$241
15%	$211

These show discounting arithmetic for the unvalidated forecast. No actionable entry range or approved prospective-return assessment follows from them. A lower price does not repair missing cash-flow or ownership evidence.

3. Objection, uncertainty and learning

The strongest opposing case is that recent pricing efficiency is a temporary extraction of advertiser value, rather than lasting incremental sales. Q2 installations fell even as revenue per installation rose sharply. If attribution overstates incremental customer acquisition, advertisers can reduce budgets; if rivals improve targeting, publisher auctions can transfer economics away from AppLovin. Unity reported Q2 Grow revenue up 35%, demonstrating an improving competing advertising business. Its segment definition is not directly comparable to AppLovin net revenue. [a2 MD&A; a10]

Platform dependency is structural. Apple requires permission for cross-company tracking and advertising identifier access. This establishes a constraint, not evidence that AppLovin violated a rule. The issuer discloses securities and derivative litigation and says loss exposure cannot be estimated. Reuters relayed a Bloomberg report of an SEC inquiry in October 2025; the archived article does not establish an adjudicated breach or a current 2026 outcome. [a11; a2 Legal proceedings; a12]

Material uncertainties: no October balance sheet or fully reconciled current claim count; contingent performance awards; independent advertiser cohort/causal lift data; litigation outcome; maturity of non-gaming advertiser expansion; refinancing cost after note maturities; and the eventual use of accumulating cash. Scenario values show these dependencies rather than resolve them. A 5% larger existing ownership claim reduces value by approximately 4.8% only in this zero-buyback illustration. With buybacks, rebuild the full ownership path. Definitive security-specific intrinsic value and an unconditional buy/hold verdict are withheld.

Watch reported install volume and net revenue per install together, GAAP margins after compensation, receivables growth and collections, advertiser evidence, rival performance, platform policy changes, share count/award vesting and actual repurchase prices. Requested updates should explain changed evidence and preserve this dated version.

Three questions for independent judgement

1. What evidence would persuade you that better advertising attribution reflects incremental customer profit rather than credit for sales that would happen anyway?

2. When might a repurchase at a high price destroy more per-share value than retaining or distributing the same cash?

3. Which change would most undermine your thesis: falling installation volume, lower margins, or lost platform access - and why?

Core evidence: 2025 10-K [a1], June 2026 10-Q [a2], proxy [a3], issuer results [a4,a5], price record [a6], competitor release [a10], Apple policy [a11]. Exact links and locations appear in the full report and source register.